

Scrapping Google tax: Trump's America & pragmatic India

In 2016, the government had introduced an **equalisation levy** of 6 per cent on payments for digital advertisement services to non-resident entities exceeding Rs 1 lakh. **The tax**, colloquially referred to as the “Google Tax”, **affected** global tech giants like Google and Meta — the two firms **account for** a **substantial** share of the digital advertising market in the country. India was, in fact, one of the first countries to have introduced such a tax. In 2020, a 2 per cent equalisation levy was also **imposed** on e-commerce sites offering digital services. Following this, in June 2020, the US launched an investigation under section 301 of the US Trade Act 1974 on the digital services tax **levied** by India, specifically the 2 per cent levy. Similar investigations were also launched by the US against other countries. On January 6, 2021, the **office** of the US Trade Representative **released** the **findings** of its investigation. It **concluded** that the levy was “discriminatory, unreasonable, and burdens or restricts US commerce.” Thereafter, the Indian government **did away with** the 2 per cent levy from August 1, 2024. And on Monday, it moved to **scrap** the levy on online advertisements as part of the **amendments** to the Finance Bill, 2025.

The **levying** of such taxes **is** intended to ensure that multinational tech firms pay their fair share of tax to “market” countries in a “hard to tax” sector. The OECD’s Pillar One project also aimed to generate **consensus** across countries on taxation of the digital economy. Some experts have viewed the equalisation levy **imposed** by India as an “imperfect solution to bring digital transactions under tax”. Its **abolition** now also **addresses** concerns of its “unilateral nature”. **Moreover**, as per reports, **collections** through the levy **were shy of** just Rs 4,000 crore, with Bengaluru accounting for a **sizeable** share of the revenue collected through this route.

The **move** to scrap the levy **comes** at a time when the US administration is **exerting** pressure to cut tariffs — April 2 is the deadline for the **imposition** of **reciprocal tariffs** — and **amid** talks between India and the US on a bilateral trade deal. On Tuesday, a US **delegation**, which includes the assistant US trade representative for South and Central Asia, **arrived** in the country for talks. These **steps** being taken by the Indian government — in the recent Union budget, it had also lowered the duties on items such as high engine capacity motorcycles and high-end cars that are exported by the US — **suggest** that it is adopting a pragmatic approach while engaging with the Trump administration, signalling its **intent** to move ahead with a trade deal.

[Practice Exercise]

- Red/blue coloring of words in the sentence indicates subject verb relationship; where ‘red’ denotes ‘subject’ and ‘blue’ denotes ‘verb’.

Vocabulary

1. **Scrap** (verb) - Abolish, Cancel, Remove, Terminate, Eliminate समाप्त करना
2. **Pragmatic** (adjective) - Practical, Realistic, Sensible, Logical, Down-to-earth व्यावहारिक
3. **Equalisation** (noun) - Balancing, Leveling, Standardization, Adjustment, Normalization - समीकरण
4. **Levy** (noun) - Tax, Duty, Charge, Impost, Tariff कर
5. **Colloquially** (adverb) - Informally, Conversationally, Casually, Familiarly, Vernacularly बोलचाल में
6. **Account for** (phrasal verb) – Comprise, make up, total, Constitute बनाना
7. **Substantial** (adjective) - Significant, Considerable, Large, Ample, Sizeable पर्याप्त
8. **Impose** (verb) - Levy, Enforce, Apply, Introduce, Inflict थोपना
9. **Levy** (verb) - Impose, Charge, Collect, Exact, Assess कर लगाना
10. **Finding** (noun) - Conclusion, Result, Determination, Discovery, Verdict निष्कर्ष
11. **Conclude** (verb) - Decide, Determine, Resolve, Infer, Deduce निष्कर्ष निकालना
12. **Do away with** (phrasal verb) - Eliminate, Remove, Abolish, Cancel, Terminate हटाना
13. **Amendment** (noun) - Modification, Revision, Change, Alteration, Adjustment संशोधन
14. **Consensus** (noun) - Agreement, Accord, Unanimity, Harmony, Concurrence सहमति
15. **Abolition** (noun) - Elimination, Termination, Cancellation, Annulment, Repeal उन्मूलन
16. **Address** (verb) - Tackle, Handle, Confront, Deal with, Manage निपटना
17. **Unilateral** (adjective) - One-sided, Independent, Autonomous, Sole, Exclusive एकतरफा
18. **Moreover** (adverb) - Furthermore, Additionally, Besides, Also, Further इसके अलावा
19. (be) **Shy** (of) (adjective) - Lacking, Short, Deficient, Wanting, Inadequate कम होना
20. **Sizable** (adjective) - Large, Considerable, Substantial, Significant, Ample काफी बड़ा
21. **Exert** (verb) - Apply, Exercise, Wield, Use, Employ लगाना
22. **Imposition** (noun) - Enforcement, Levy, Application, Introduction, Establishment आरोपण

23. **Reciprocal tariff** (noun) – it refers to measures taken by both parties to ensure fairness in bilateral commerce पारस्परिक शुल्क

24. **Amid** (preposition) - During, In the middle of, Among, In the midst of, Surrounded by के बीच

25. **Delegation** (noun) - Team, Mission, Deputation, Commission, Contingent प्रतिनिधि मंडल

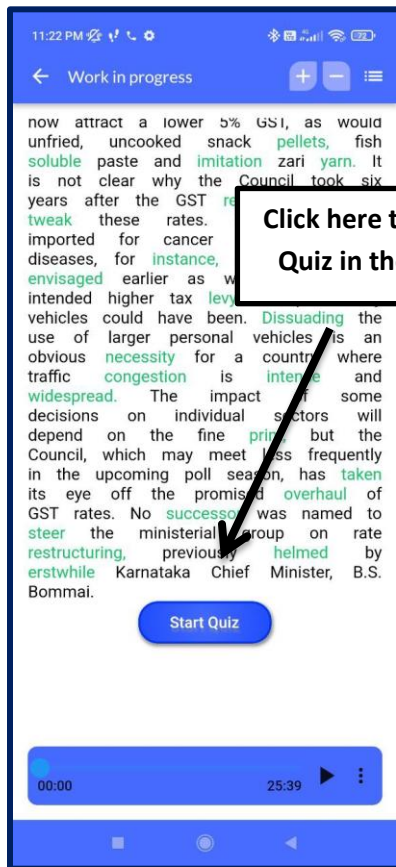
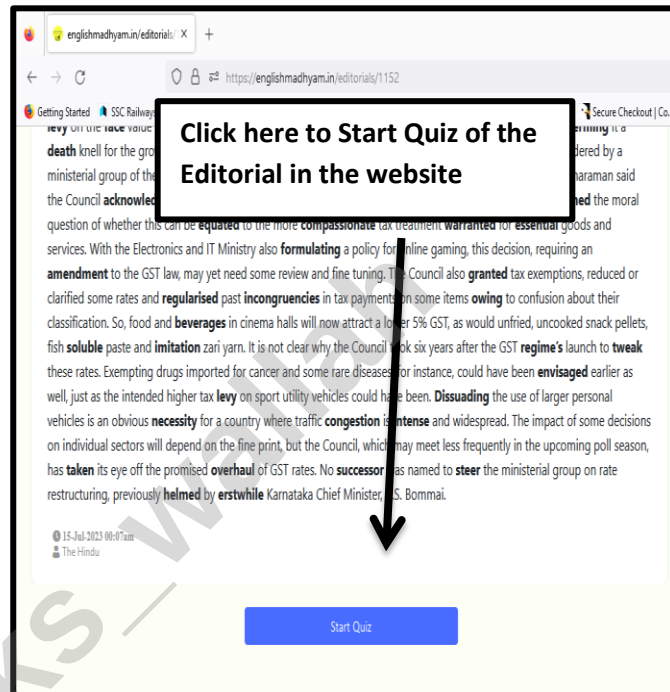
26. **Intent** (noun) - Intention, Purpose, Aim, Objective, Goal इरादा

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Summary of the Editorial

1. **Introduction of the "Google Tax" (2016):** India imposed a 6% equalisation levy on digital ad payments to non-resident entities exceeding ₹1 lakh, targeting firms like Google and Meta.
2. **Expansion to E-commerce (2020):** A 2% levy was added on e-commerce platforms offering digital services.
3. **US Trade Investigation (2020):** The U.S. launched a probe under Section 301 of its Trade Act, claiming India's digital tax was "discriminatory" against American firms.
4. **US Findings (2021):** The U.S. Trade Representative ruled the levy "unreasonable" and harmful to U.S. commerce.
5. **India's Rollback (2024):** The 2% e-commerce levy was removed from August 1, 2024.
6. **Complete Scrapping (2025):** The Finance Bill 2025 proposed abolishing the 6% ad levy, signaling a policy shift.
7. **Original Purpose of the Levy:** Aimed at taxing multinational tech firms in "hard-to-tax" digital sectors, ensuring fair revenue share for "market" countries.
8. **OECD's Pillar One Initiative:** Sought global consensus on digital taxation, making India's unilateral levy appear outdated.
9. **Criticism of the Levy:** Experts called it an "imperfect solution" for digital taxation, with limited revenue gains (~₹4,000 crore).
10. **Bengaluru's Dominance in Collections:** A major chunk of the levy's revenue came from tech hubs like Bengaluru.
11. **US Pressure on Tariffs:** The removal aligns with U.S. demands ahead of an April 2 deadline for reciprocal tariff decisions.
12. **India-US Trade Talks:** A U.S. trade delegation visited India, discussing a potential bilateral trade deal.
13. **Recent Tariff Cuts:** India also reduced duties on U.S.-exported goods (e.g., high-end cars, motorcycles) in the 2025 budget.
14. **Pragmatic Diplomacy:** India's moves reflect a flexible approach to secure a trade deal with the Trump administration.
15. **Strategic Trade Adjustments:** By scrapping the levy, India aims to ease tensions and strengthen economic ties with the U.S.

Practice Exercise: SSC Pattern Based

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